

4.1.6 The labour market

4.1.6.1 The demand for labour, marginal productivity theory

Content	Additional information
• The demand for a factor is derived from the demand for the product. • The marginal productivity theory of the demand for labour. • The demand curve for labour shows the relationship between the wage rate and number of workers employed. • The causes of shifts in the demand curve for labour. • The determinants of the elasticity of demand for labour.	

4.1.6.2 Influences upon the supply of labour to different markets

Content	Additional information
• The supply of labour to a particular occupation is influenced by monetary and non-monetary considerations. • Non-monetary considerations include job satisfaction and dissatisfaction and working conditions. • The supply curve for labour shows the relationship between the wage rate and number of workers willing to work in an occupation. • The causes of shifts in the market supply curve for labour.	Students will not be required to understand the determinants of an individual's supply of labour or the backward-bending supply curve.

4.1.6.3 The determination of relative wage rates and levels of employment in perfectly competitive labour markets

Content	Additional information
• The economists' model of wage determination in a perfectly competitive labour market. • Role of market forces in determining relative wage rates.	Students should appreciate that all real-world markets are imperfectly competitive to a greater or lesser extent.

4.1.6.4 The determination of relative wage rates and levels of employment in imperfectly competitive labour markets

Content	Additional information
• How various factors such as monopsony power, trade unions and imperfect information contribute to imperfections in a labour market. • How, in a monopsony labour market, the employer can use market power to reduce both the relative wage rate and the level of employment below those that would exist in a perfectly competitive labour market.	The use of relevant diagrams is expected.

4.1.6.5 The Influence of trade unions in determining wages and levels of employment

Content	Additional information
• The various factors that affect the ability of trade unions to influence wages and levels of employment in different labour markets. • How wages and employment are likely to be affected by the introduction of a trade union into a previously perfectly competitive labour market and into a monopsony labour market.	The use of relevant diagrams is expected.

4.1.6.6 The National Minimum Wage

Content	Additional information
• The effects of a national minimum wage upon labour markets. • The advantages and disadvantages of a national minimum wage.	

4.1.6.7 Discrimination in the labour market

Content	Additional information
• The conditions necessary for wage discrimination. • The impact of gender, ethnicity and other forms of discrimination on wages, levels and types of employment.	Real-world examples should be used to illustrate wage discrimination. Students should be able to assess the advantages and disadvantages of wage discrimination for workers, employers and the economy as a whole.